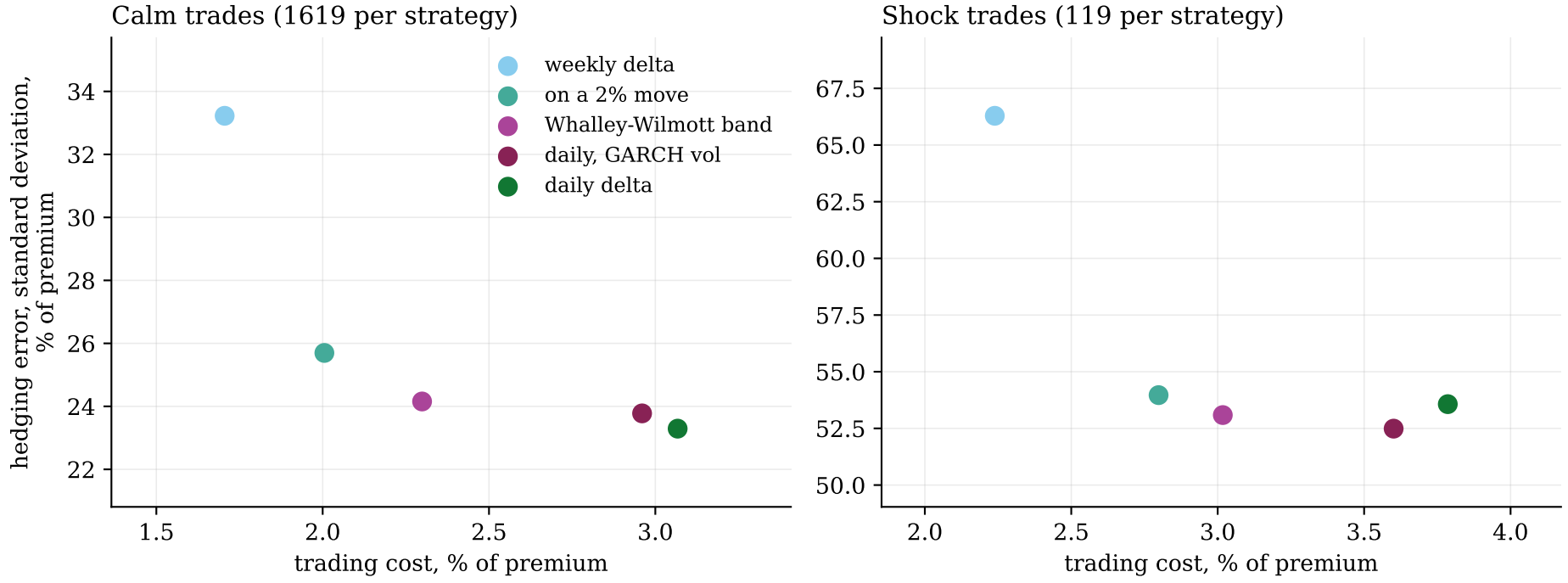
Tracking error against hedging cost, 3-month calls on six commodities, 2002-2026



Not shown: no hedge (error 175% calm, 418% shock), static delta (80%, 176%), and Leland, which at a 5 bp cost sits on daily delta.